

Markets
2650.24 ▲ +1.72

Asian M
Nikkei 225

	NET CHG	% CHG	52-WEEK % CHG	YTD % CHG
ASE	+1.72	+0.06	+8.99	
ASE	-5.6	-0.13		
ASE	+5.93	+0.15		
ASE	+3.31			

ASO
2003

Demand for electronics hardware in India was worth about \$40 billion in year 2007-08. Of this, barely 50 per cent (\$20 billion) was met from domestic manufacturing.

The market has been growing at a rate of 25-30 per cent per annum, whereas manufacturing has been lagging behind at less than 15 per cent. The growth in demand is likely to sustain in the coming years, notwithstanding a temporary dip in the growth rate that may occur due to the current global recession.

to manufacture consumer electronics products.

Rajoo Goel, secretary general, EL-CINA Electronic Industries Association, reasons that manufacturing has trailed behind market growth due to higher cost of production relative to competing nations in Asia and zero duty on import of electronic items un-

der the ITA-1 regime of World Trade Organisation (WTO). There is fierce competition with China, Thailand, Malaysia and other Asian nations which have more efficient environments for manufacturing, leaving no scope for inefficiencies of any kind.

A more detailed list of reasons follows:

1. ITA-1 Agreement placing 217 lines of electronic components and IT/telecom products at zero customs duty and cheap imports flooding the Indian market

2. High and cascading/multiple tax structure resulting in increased input costs and costly local products encouraging the grey market and restricting the growth of demand

- Tax on dual-use inputs and inverted duties
- Central sales tax (CST)
- Value-added tax (VAT)

3. Irrational tax exemptions break the value chain—excise duty on inputs adds to the cost of some high-volume and 'star' electronic products such as cellphones and set-top boxes which are exempt from excise duty. This is a disadvantage for local manufacturers. Also, manufacturing is restricted to special economic zones (SEZs) only with very high dependence on imports and low value addition.

4. High costs of finance, energy and fuel make local manufacturing uncompetitive; this is coupled with inadequate infrastructure adding to delays and time related costs.

5. Lack of investments and R&D in this industry due to low and uncertain profitability has pushed us behind